Corporate Finance

Case - 3 : Dominos Pizza Ent.

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Name :
Code : 080526
SRN :

PREAMBLE : Dominos has always been the one company in its segment that is always innovating, always thinking of solutions for the problems. It is based in Australia and has branches in multiple outlets in multiple countries.

In COVID-19 pandemic, they faced a huge issue of uncertainity, ops cost and unforeseen cost and problems. Although they faced all these challenges they invested heavily in spreading their operations in countries. Weighted Average cost of capital (WACC) became critical for evaluating their investment.

PROBLEM STATENT :

The key issue was to accurately estimate DPE's cost of capital (WACC) in a highly uncertain

economic environment.

Specific challenges include,

* Volatility due to covid-19 and global lockdown.
* Fluctuating interest rates
* uneasy to estimate cost of equity

INDUSTRY ANALYSIS :

1. QSR competitive Industry : Dominos competes with global fast-food chains like McD & KFC.
2. Technology Driven : Success depends on innovation
3. Demand shift during COVID-19 : Dine-in reduced
4. High operational Complexity : Large & global network.
5. Financial Trends : Rising revenues but declining margins
6. Increasing debt ratio : Large global network of 2600 stores.
7. External Environment : Low interest rates, Economic uncertainity and lockdown risks

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ALTERNATE SOLUTIONS :

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1) Use only Cost of Equity as Cost of Capital
2) Use only Cost of Debt : Attractive
3) Use Weighted Average cost of Capital
4) Benchmark Against Competitors : Compare
5) Adjust WACC for Risk
6) Some provide market-based perspective.

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RECOMENDED SOLUTIONS

We can add risk adjustment to WACC and that would be the best approach.

Provides a balanced and realistic estimate of capital cost. Takes advantage of low-cost debt while managing risk.

Aligns with industry best practices - CAPM

Allows flexibility by adjusting hurdle rates for different projects.

It also supports long-term help for making decisions.

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